

Pure Economic Loss (2)

Recap

- ❑ Ds not liable for PEL apart from in special circumstances
- ❑ The key special circumstance is where D 'assumes responsibility' for the loss
- ❑ That requires: (i) special relationship; (ii) voluntary assumption; (iii) reasonable reliance in misstatement cases
- ❑ Started in misstatement with *Hedley Byrne* → expanded to provision of services in *Henderson* → taken beyond 'assumption' in *White*

PEL outline

1. What counts as PEL?
2. Assumption of responsibility
3. The extension of *Hedley Byrne*
4. The limits of the doctrine
5. Specific aspects of the doctrine



4. The limits of the doctrine

A. Professional not social context



“It is perhaps understandable that professional persons are taken to assume responsibility for economic loss to their clients. Typically, they give advice, prepare reports, draw up accounts, produce plans and so forth. They expect their clients and possibly others to act in reliance upon their work product, often with financial or economic consequences. When one moves beyond the realm of professional retainers, it by no means follows that every contracting party assumes responsibilities (in the *Hedley Byrne* sense) to the other parties co-extensive with the contractual obligations. Such an analysis would be nonsensical.”

(Jackson LJ in *Robinson v Jones* [2011] EWCA Civ 9, [75-76])

A. Professional not social context



Burgess v Lejonvarn [2017] EWCA Civ 254

Facts:

- ❑ Cs asked their friend and neighbour D, a qualified architect, to oversee the landscaping of their back garden.
- ❑ D was heavily involved in both organisation of contractors and delivery of the project, as well as in planning later elements.
- ❑ No payment had been discussed between the parties.
- ❑ Cs were unhappy with the quality of the work and because the costs had substantially overrun.

Held:

- ❑ This was a professional context – D owed C a DoC in relation to PEL

A. Professional not social context



Burgess v Lejonvarn [2017] EWCA Civ 254

“For the Garden Project to be successful it was recognised by both Mrs Lejonvarn and the Burgesses that her professional services would be required. They were not services that could be provided by the builders. Although the Burgesses were not Mrs Lejonvarn’s clients in the contractual sense, on the judge’s findings both parties regarded the Burgesses as being her professional clients, and that was how Mrs Lejonvarn herself described them.”

(Hamblen LJ, [83])

A. Professional not social context



Burgess v Lejonvarn [2017] EWCA Civ 254

“... the context was a professional one. It was not informal or social. There was an obvious relationship of proximity. Although she was not going to be paid initially the expectation was that she would be paid for later work. She held herself out as having professional skills. She said she would perform professional services and did so. She was aware that the Burgesses would be relying upon her to properly perform those services and it was foreseeable that economic loss would be caused to them if she did not.”

(Hamblen LJ, [86])

B. D must assume responsibility to C personally



BNL v Playboy Club [2018] UKSC 43

Facts:

- ☐ C, through its agent, T, sought a credit reference for Mr Barakat to gamble
- ☐ D negligently gave a positive reference to T
- ☐ D did not know that the reference was for C's use
- ☐ Mr Barakat was not creditworthy, and C lost money

Held:

- ☐ D was not liable because D did not know the purpose of their reference

B. D must assume responsibility to C personally



BNL v Playboy Club [2018] UKSC 43

“where a statement is relied upon by B to whom A has passed it on, the representor owes no duty to B unless he knew that the statement was likely to be communicated to B. ... [T]he representor must not only know that the statement is likely to be communicated to and relied upon by B. It must also be part of the statement’s known purpose that it should be communicated and relied upon by B, if the representor is to be taken to assume responsibility to B.”

(Lord Sumption, [11])

C. Reliance necessary in misstatement cases



- We saw yesterday that reliance is no longer necessary in provision of services cases – see *Henderson v Merrett*
- But it is still necessary in misstatement cases
- “[D] will not assume responsibility towards [C] unless it was reasonable for the latter to have relied on what [D] said and unless [D] should reasonably have foreseen that [C] would do so. These are, as I have shown, two ingredients of the general liability in tort for negligent misrepresentation”. (Lord Wilson, *NRAM v Steel* [2018] UKSC 13, [32])

D. PEL outside of assumption of responsibility?

- “although it may be decisive in many situations, the presence or absence of a voluntary assumption of responsibility does not necessarily provide the answer in all cases” (Lord Rodger, [20])
- “it is correct to regard an assumption of responsibility as a sufficient but not a necessary condition of liability, a first test which, if answered positively, may obviate the need for further inquiry. If answered negatively, further consideration is called for.” (Lord Bingham, [4])

(*Customs and Excise Commissioners v Barclays Bank plc* [2006] UKHL 28)

- N.b. some of the cases where D was liable for PEL seem to lack the basic features of assumption of responsibility – e.g. *White v Jones*



5. Specific aspects of the doctrine

A. Reasonable reliance



Reeman v Department of Transport [1997] EWCA Civ 1355

- ❑ D negligently issued certificate of seaworthiness for a ship
- ❑ Certificates were issued for the purpose of safety at sea, not for the purposes of ensuring C did not make an economic loss
- ❑ D had no DoC for PEL
- ❑ Similar to *Caparo*: statements made for purpose X, cannot reasonably be relied on for very different purpose Y

A. Reasonable reliance



NRAM v Steel [2018] UKSC 13

Facts:

- ☐ C loaned money to T as part of C's business as a commercial lender.
- ☐ During dealings between C and T, C suffered PEL as a result of acting on negligent information in an email sent to them by D (T's solicitors).
- ☐ C did not check the accuracy of the information themselves.

Held:

- ☐ No DoC because reliance not reasonable in the circumstances

A. Reasonable reliance



NRAM v Steel [2018] UKSC 13

“We should accept that a commercial lender about to implement an agreement with its borrower referable to its security does not act reasonably if it proceeds upon no more than a description of its terms put forward by or on behalf of the borrower. ... No authority has been cited to the court, nor discovered by me in preparing this judgment, in which it has been held that there was an assumption of responsibility for a careless misrepresentation about a fact wholly within the knowledge of the representee.” (Lord Wilson, [38])

A. Reasonable reliance



Scullion v Bank of Scotland [2011] EWCA Civ 693

- ❑ Negligent valuation of property led to losses for commercial buy-to-let purchaser
- ❑ Essentially commercial nature of the relationship meant there was no reasonable reliance on the bank's survey report
- ❑ Contrast with *Smith v Eric Bush*, where the relationship was between a professional and a normal purchaser who would live in the house

A. Reasonable reliance

So, at least in misstatement cases:

- ❑ If it was reasonable for C to rely on D's statement, there will be a DoC
 - ❑ If it was unreasonable for C to rely on D's statement, there will be no DoC
- “The test is not simply reliance in fact. The test is whether [C] could reasonably rely on an assumption of personal responsibility by the individual who performed the services on behalf of the company...” (Lord Steyn, *Williams v Natural Life Health Foods*, p.837)

B. An objective test

“The touchstone of liability is not the state of mind of the defendant. An objective test means that the primary focus must be on things said or done by the defendant or on his behalf in dealings with the plaintiff. Obviously, the impact of what a defendant says or does must be judged in the light of the relevant contextual scene. Subject to this qualification the primary focus must be on exchanges (in which term I include statements and conduct) which cross the line between the defendant and the plaintiff.”

(Lord Steyn, *Williams v Natural Life Health Foods* [1998] 1 WLR 830, p.835)

B. An objective test

“In these cases in which the loss has been caused by the claimant’s reliance on information provided by the defendant, it is critical to decide whether the defendant (rather than someone else) assumed responsibility for the accuracy of the information to the claimant (rather than to someone else) or for its use by the claimant for one purpose (rather than another). The answer does not depend upon what the defendant intended but ... upon what would reasonably be inferred from his conduct against the background of all the circumstances of the case.”

(Lord Hoffmann, in *Customs and Excise Commissioners v Barclays Bank plc* [2006] UKHL 28, [35])

B. An objective test

“I do not think that voluntary assumption of responsibility is a helpful or realistic test for liability. ... Obviously, if an adviser expressly assumes responsibility for his advice, a duty of care will arise, but such is extremely unlikely in the ordinary course of events. ... [In most cases if D] had actually been asked if he was voluntarily assuming responsibility for his advice to the mortgagee or the purchaser of the shares, I have little doubt he would have replied, ‘Certainly not. My responsibility is limited to the person who employs me.’”

(Lord Griffiths, in *Smith v Eric Bush*, p.862)

C. Assumption must be voluntary



Customs and Excise Commissioners v Barclays Bank plc [2006] UKHL 28

Facts:

- ☐ C issued a freezing injunction
- ☐ D negligently failed to freeze assets
- ☐ C lost the money

Held:

- ☐ No DoC because not 'voluntary' assumption

C. Assumption must be voluntary



Customs and Excise Commissioners v Barclays Bank plc [2006]
UKHL 28

“Indeed the bank and [C] are about as far from being in a relationship “equivalent to contract” as they could be. The bank has to act, but merely because the court order compels it to do so ultimately on pain of punishment. It gets its reasonable costs, but makes no profit out of performing its duty. Moreover, its duty to respect the order and to act accordingly does not arise out of any relationship with [C].”

(Lord Rodger, [65])

C. Assumption must be voluntary



Customs and Excise Commissioners v Barclays Bank plc [2006] UKHL 28

“As the law has developed (and in the field of pure economic loss) liability is imposed because of the voluntary assumption of responsibility. But in the modern context the word “voluntary” is being used, it seems to me, with the connotation of “conscious”, “considered” or “deliberate”. ... In this case the appellant bank has not, in any meaningful sense, made a voluntary assumption of responsibility. It has by the freezing order had responsibility thrust upon it.”

(Lord Walker, [73-74])

C. Assumption must be voluntary

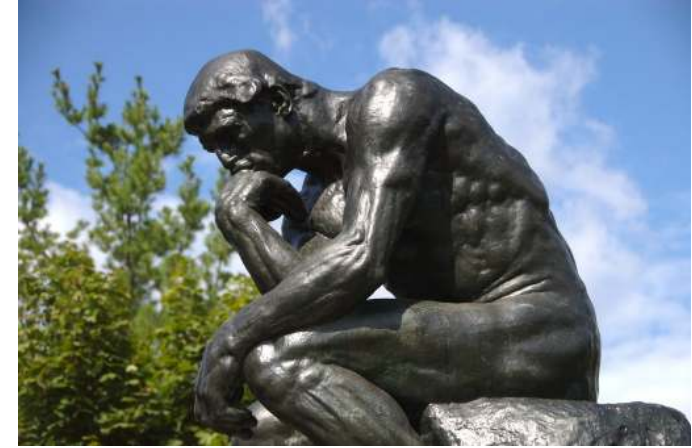


- ❑ SO ... the assumption does not have to be 'voluntary' in a strong sense
- ❑ "A's decision to buy the last remaining bottle of Dow's 1871 Vintage Port from B is still binding even if A has previously contracted to sell such a bottle to C, and so has no real choice but to enter the transaction." (Nolan, 'Assumption of Responsibility: Four Questions')
- ❑ What is required, is that D undertook a task for C, rather than D being forced to do something which would incidentally benefit C

D. Not limited to PEL!!

- Although the assumption of responsibility doctrine has its foundations in *Hedley Byrne*, which concerned PEL, it is not limited to this domain.
- As you will see in the coming weeks, the doctrine can be the basis for the imposition of liability in lots of other situations where there would not be a duty of care otherwise – especially omissions cases
- The concept is important for understanding the law of negligence as a whole

E. Closing thoughts



“At least four different schools of thought are discernible in the academic writings on assumption of responsibility, ...:

1. that the concept as employed by the courts is essentially meaningless, and either a foil for policy arguments or for an alternative, allegedly more meaningful concept, such as ‘proximity’;
2. that cases of assumption of responsibility are really just instances of liability in contract, minus consideration;
3. that in the cases where the assumption of responsibility concept is employed no liability should have been imposed at all; and
4. that assumption of responsibility is a distinctive sui generis basis of legal obligation, separate from both core negligence law and the law of contract.”

(Nolan, ‘Assumption of Responsibility: Four Questions’)



A couple of examples |

Esso Petroleum v Mardon [1976] QB 901



Facts:

- ☐ C was thinking of leasing a petrol station
- ☐ D, an employee of Esso whose job was assessing potential sales, advised C that the station would sell at least 200,000 gallons a year
- ☐ C leased the station, and sold on 78,000 gallons in the first 15 months

Held:

- ☐ D had assumed responsibility to C

Sotheby's Caravaggio case: Former owner of 'The Cardsharps' loses legal bid after Sotheby's claimed work – later valued at £10m - was fake

Lancelot William Thwaytes attempted to sue Sotheby's for allegedly giving him negligent advice

Loulla-Mae Eleftheriou-Smith • Friday 16 January 2015 17:56 GMT • [Comments](#)



Thwaytes v Sotheby's [2015] EWHC 36

- ❑ Sotheby's owed a DoC to C, to ensure reasonable care was taken in the valuing of the painting
- ❑ Assumption of responsibility – if Sotheby's was negligent, they would be liable for PEL due to painting being sold for less than it was worth
- ❑ BUT ... in this case there was no BoD, because Sotheby's had taken reasonable care in valuation

